

IFSA

NIT Trichy

A Report into the economic effects of the bill

2026

Short term (1-2 years) effects

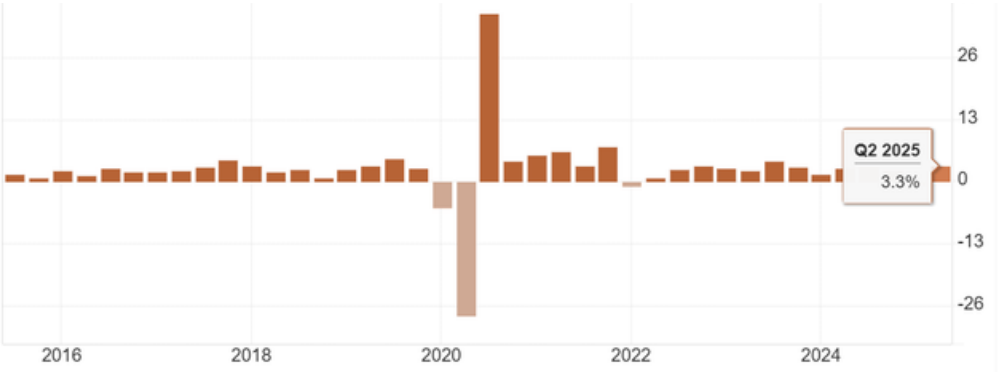
The short-term effects of this bill on a macroeconomic perspective will yield positive result but much of the growth may be inflationary along with some productivity growth, and it will require the US government to run on a deficit of almost 3 trillion USD, which does raise questions about debt sustainability from the perspective of a longer term. Now in the short term with heavy investments and government spending, there will be a surge in growth of GDP. Along with that, to stimulate spending in the economy, the federal interest rates are likely to be low. Now with increased spending and growth in the GDP, there will be more employment, assets will provide good returns and the economy is expected to boom.

Long term (5-10 years) effects

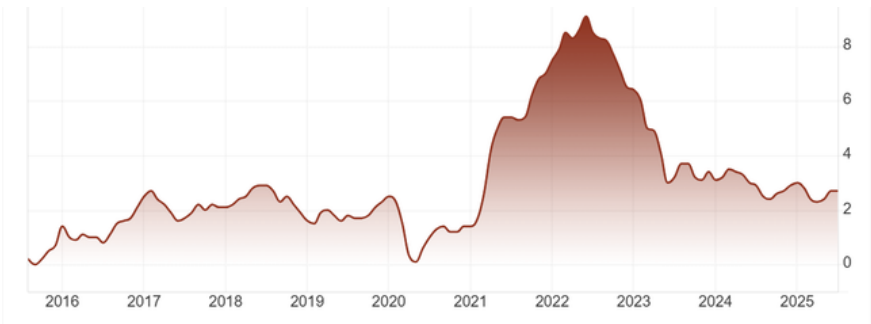
With the short-term effects in place .its important to discuss what the long-term effects of this bill are. Given the short-term growth is stimulated by debt, the inflation will climb to dangerously high levels, and to counter it the central bank will drive up the interest rates making borrowing difficult now. With less spending in the economy and even with it, if the government goes as the bill suggests, then there could go into a recession. With all the years of running on deficits, the US national debt may climb to record levels. The question of whether the debt will be sustainable or not will depend on many future circumstances.

Possible effects on Key Macroeconomic Indicators

We see that in the recent quarters GDP growth rate had stagnated at around 3%, with the previous quarter showing negative growth, this bill plans to boost the growth rate of the GDP In the short term the GDP is expected to move to 3% as a baseline projection fueled by the demand stimulus that this bill generates.



GDP Growth Rate of US



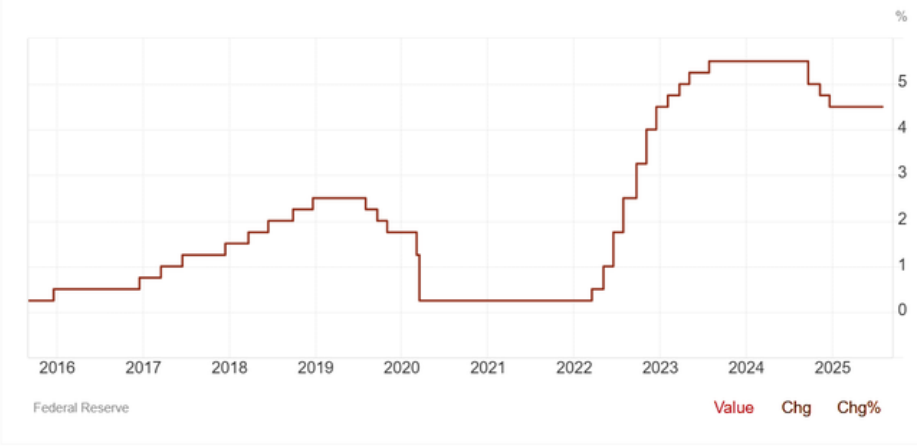
US Inflation Rate

The Fed's try to make sure that the inflation rate lingers around the 2% margin, post COVID they have successfully maintained so, but no with this bill in place there is a possibility of

Macroeconomic Outlook And Debt Sustainability

Inflationary growth will increase the inflation to an estimate of around 4-5% in the first 3-4 years after the bill is imposed, but as the inflation increases over the 3-4 years the central bank will increase the interest rate thus decreasing spending and driving down prices till the inflation rate hits 2%.

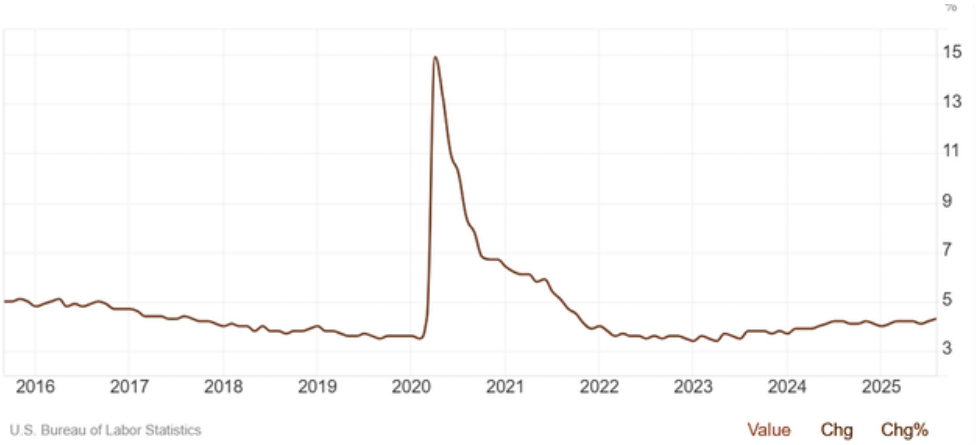
With the intrroduction of this bill, the Fed's will try to decrease the interest rates to stimulate spending, the interest rates could tend to decrease to around 2%-3%, and that could remain the same till the inflation crosses some certain boundary.



US Federal Interest Rates

To counter it, the Fed's will increase the interest rate back to the 4%-5% margin in order to drive down inflation.

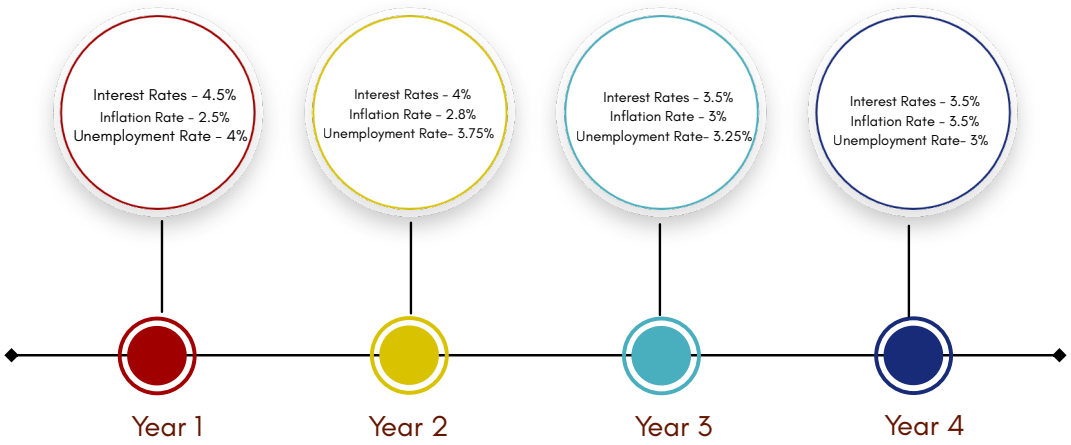
We notice that in the post COVID era the rate of unemployment is slowly climbing up, with layoffs due to AI and other factors playing a major role, now this bill is expected.



Unemployment Rate in the US

To increase the productivity growth of the economy, thus creating more jobs and decreasing the unemployment rate in the near future.

Timeline on forecasts of the Key Macroeconomic Indicators



Understanding the effect of this bill with Crowding Out & Ricardian Equivalence

Using the crowding-out model to see what the outlook on private sector investments looks like,
Mechanism of this model:

- US Treasury increase bond issuance
- Demand for fund increasing the interest rate on treasury bonds
- Higher interest rate on treasury bonds dicourages private investment
- Net effect on GDP is not extreme as its partially crowded out

It almost entirely is decided by the outcome of the Fed's, in case they keep the interest rate high, the crowding-out effect is very significant, but according to our research, the Fed's are expected to decrease the interest rates thus there will be little to no effect on investments in the private sector.
According to the Ricardian Equivalence, as this bill reduces taxes and increases spending by borrowing, households expect the future tax rate to increase, thus saving more than spending. Thus, the fiscal multiplier between the US government and the households is equal to 0.

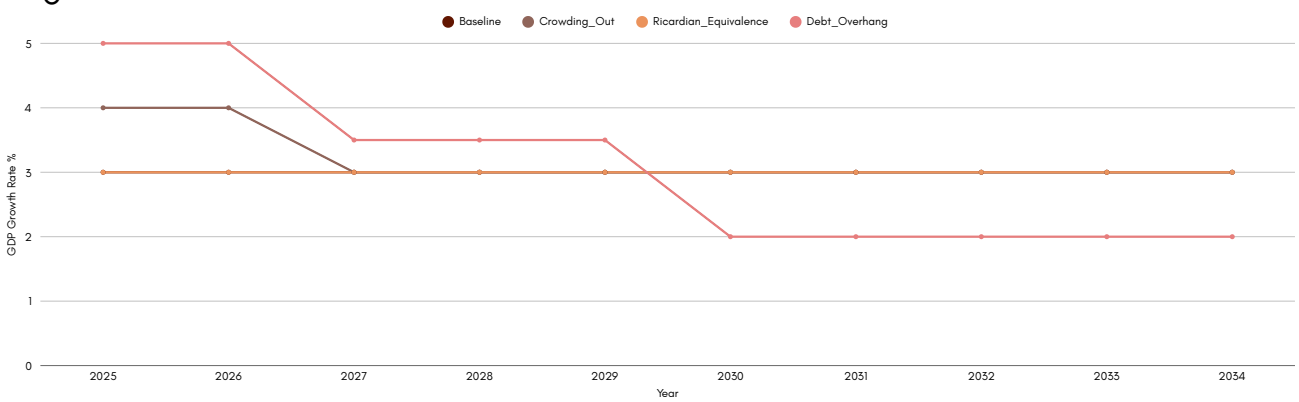
Debt Overhang Model to better explain the scenario

The mechanism of the debt overhang model:

- Higher the debt more are the debt service costs
- Debt service decreases productive spending
- Low incentives for private investment
- Begininning of a growth trap

According to the model, we see that this bill may stimulate the economy, but only for a short term. This bill could lead to the US getting stuck in a loop of something called a debt overhang.

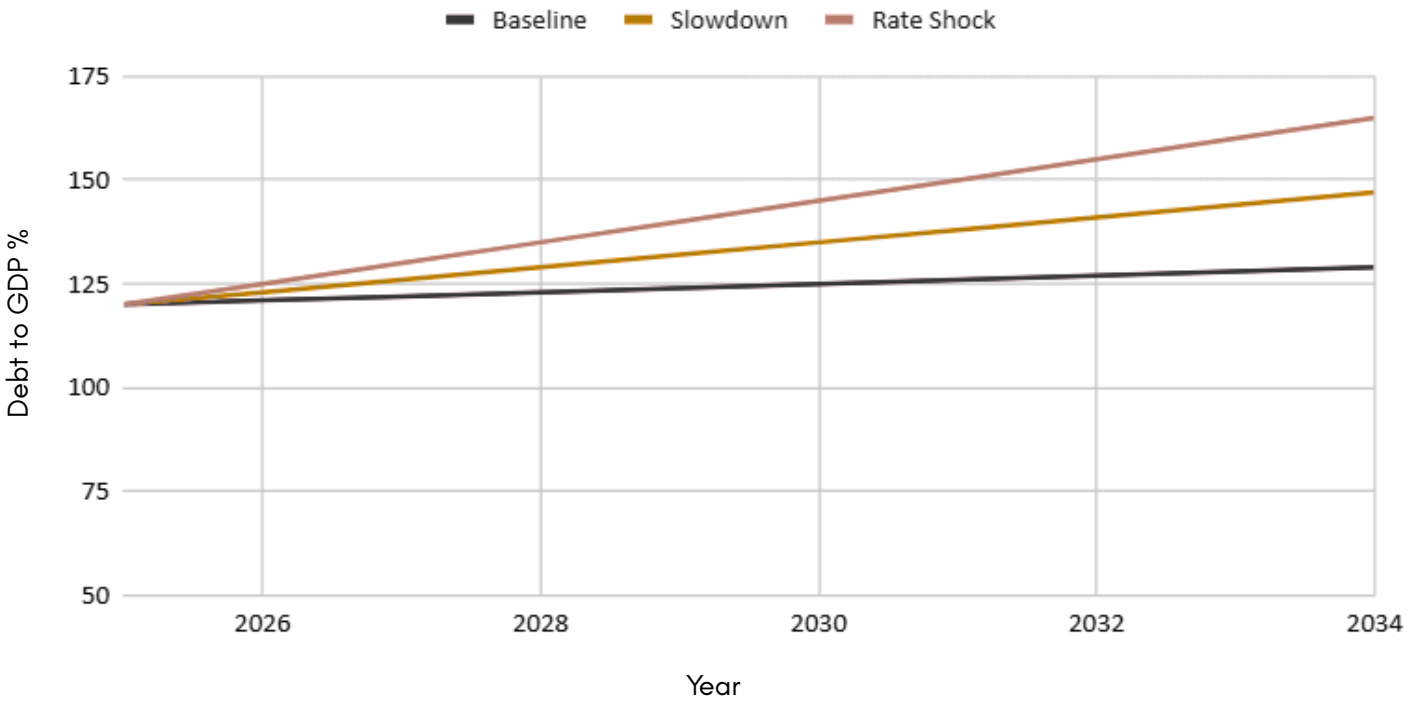
Creating a model for all 3 scenarios along with the baseline projection of GDP growth rate and presenting it in the form of a line chart



Debt to GDP Modelling

To begin with modelling the debt-to-GDP ratio we will first consider 3 scenarios the baseline, the slowdown, and the rate shock. In the baseline scenario we assume that the GDP grows by 3% every year with stable borrowing and interest rates, the debt grows but is sustainable.
Now in the slowdown scenario, we assume the economic growth to slow down hence, we assume the GDP growth here to be 2% year on year while the spending and borrowing remains high, the debt is serviceable, but the fiscal flexibility decreases.
In case of a rate shock scenario where the interest rates suddenly rise sharply, with the debt to GDP reaching 165%, which is considered a dangerous territory, with the government spending more and more on interest payments, leaving less for productive spending. This could be considered a case of a classic debt overhang trap.

A chart to present how the Debt-to-GDP ratio of all three scenarios would look over the next 10 years.

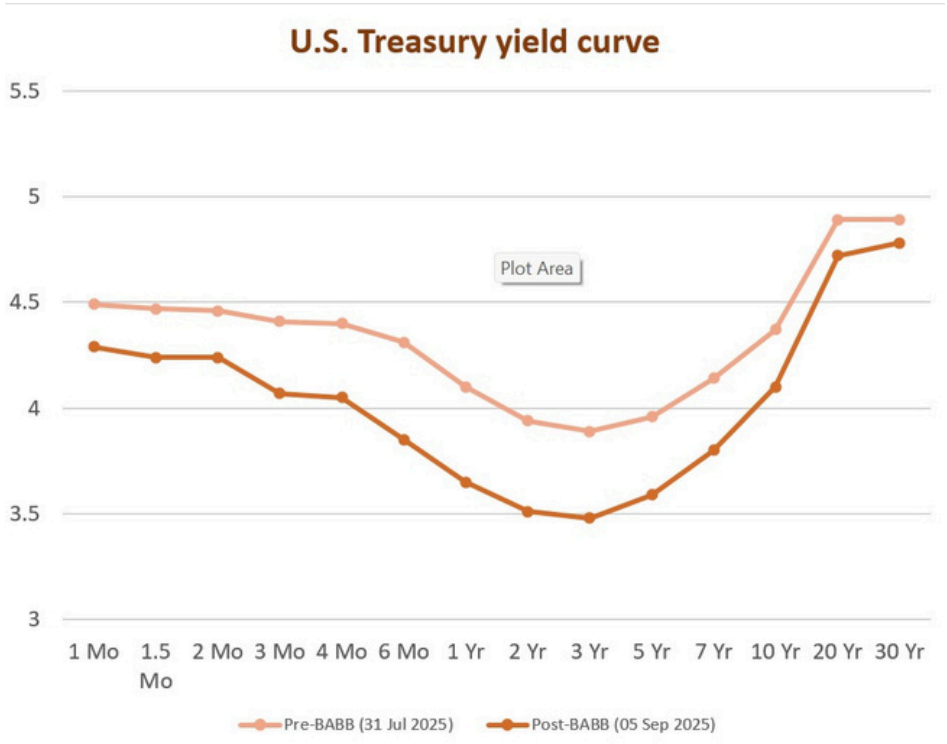


Treasury Yields and the Yield Curve

The Big and Beautiful Bill has direct consequences for U.S. Treasury yields and the shape of the yield curve. Since the Treasury must finance additional fiscal spending, issuance volumes are set to rise significantly. This creates two opposing pressures:

1)Short-end effects (Bills and Notes):

Increased reliance on short-term Treasury bills to raise funds can push up yields in the 3-month to 2-year segment. Investors demand higher compensation for absorbing a larger supply of government debt, which can steepen the front end of the curve.



2)Long-end effects (10- to 30-year bonds):

The response at the longer end depends largely on market confidence in fiscal credibility. If investors believe the bill will worsen debt sustainability or increase the risk of future downgrades, the term premium rises, pushing up 10-year and 30-year yields. Conversely, if the Federal Reserve signals continued monetary support, long-end yields may rise more slowly, creating curve flattening.

The overall shape of the curve after BABB therefore reflects the interplay of supply pressures, fiscal credibility, and central bank policy. Historically, fiscal shocks that lack credible debt management have triggered both sharp steepening (due to heavy near-term issuance) and occasional flattening episodes (when markets price in future policy tightening to counter debt-driven inflation risks).

Equity Market Volatility and Debt Issuance

A second channel of impact from fiscal policy is the interaction between Treasury issuance and equity market volatility, as measured by the VIX index. Large debt-financed spending programs introduce multiple sources of uncertainty:

1. Higher Discount Rates

- When the Treasury issues large amounts of debt, yields on government bonds tend to rise to attract buyers.
- Higher Treasury yields increase the cost of capital for businesses, particularly growth-oriented sectors like technology or consumer discretionary, whose valuations rely heavily on discounted future cash flows.
- Historical evidence shows that periods of rising long-term yields often coincide with multiple equity market drawdowns, as higher discount rates reduce equity attractiveness relative to fixed income.

2. Market Volatility Spillovers

- During weeks of heavy Treasury issuance, investors often rebalance portfolios toward safer assets, such as Treasuries or cash equivalents, creating temporary equity outflows.
- Research by the Federal Reserve and academic studies (e.g., Greenwood & Vayanos, 2010) shows that large net issuance correlates with spikes in implied equity volatility.
- These spillovers are amplified when issuance coincides with other market stressors, such as geopolitical uncertainty or economic data surprises.

3. Liquidity Stress

- In stressed markets, a "dash for cash" can occur, where investors sell equities and corporate bonds to raise liquidity, often to purchase Treasury securities.
- If Treasury auctions fail to clear smoothly or yields rise sharply during the process, this feedback loop can exacerbate volatility, creating short-term dislocations in equity and credit markets.
- Historical examples include the 2008-2009 financial crisis and the March 2020 COVID-19 market selloff, when Treasury demand surged while equities plummeted.

4. Investor Expectations and Forward Guidance

- Equity markets respond not only to actual issuance but also to the Treasury's communication strategy.
- Clear forward guidance on upcoming auctions, supply size, and interest rate policy can reduce uncertainty, mitigating spikes in volatility.
- Conversely, unexpected or opaque debt issuance can fuel speculative positioning, increasing short-term VIX readings.

5. Sectoral Impacts

- Rate-sensitive sectors such as utilities, real estate, and tech tend to experience larger valuation swings during high-issuance periods.
- Conversely, defensive sectors like consumer staples and healthcare may see relatively muted volatility, reflecting investor flight-to-safety behavior.

Credit spreads widening (corporate & sovereign)

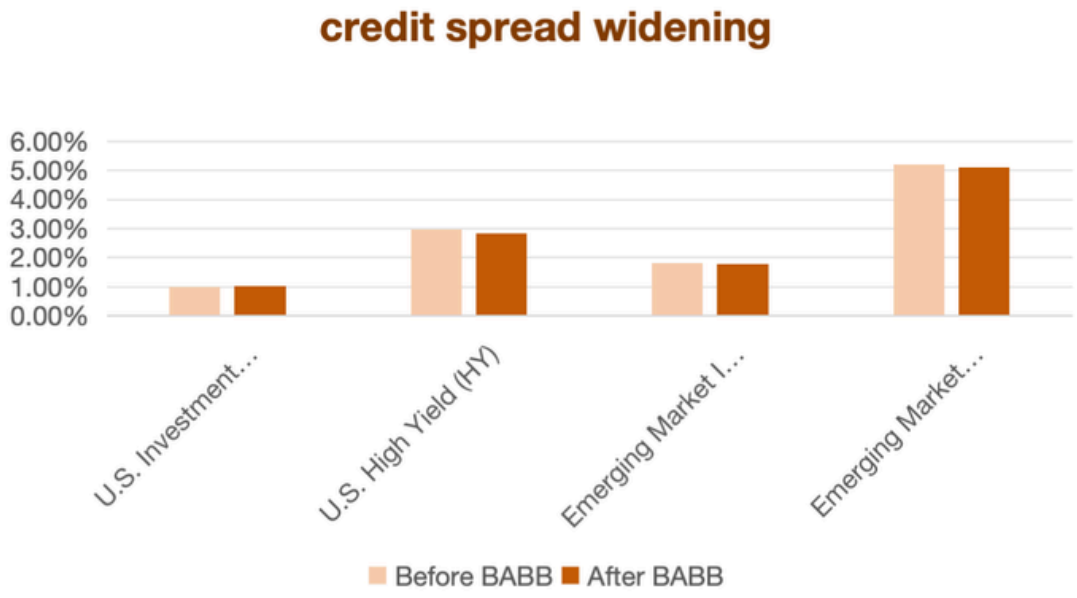
Credit spreads are the premium investors demand over U.S. Treasuries that are highly sensitive to fiscal shocks. Following Big And Beautiful Bill, spreads are expected to widen across corporate and sovereign debt markets.

For U.S. corporates, investment-grade bonds may see a moderate widening of 20-30 basis points as higher Treasury yields raise overall funding costs. The impact is far sharper in the high-yield segment, where spreads can jump by 100 basis points or more, reflecting investor caution toward riskier borrowers. This tightening of financing conditions could slow corporate investment and increase default risks in weaker sectors.

For sovereigns, especially in emerging markets (EMs), spreads tend to widen when U.S. yields rise, as their debt is benchmarked against Treasuries. This not only raises borrowing costs but can also trigger capital outflows, currency pressure, and heightened refinancing risks. Even fundamentally sound EMs can be affected by contagion as global investors de-risk portfolios.

Overall, widening spreads act as a channel through which U.S. fiscal stress transmits to global credit markets, raising funding costs and amplifying volatility across both advanced and emerging economies.

Credit spreads are often viewed as a real-time barometer of market sentiment. When investors feel confident, spreads tighten as demand for corporate and sovereign bonds rises. But in periods of fiscal stress, like after Big And Beautiful Bill, spreads widen sharply because investors require extra compensation for perceived risk. Wider spreads mean companies and governments must pay more to borrow, even if their fundamentals have not changed. This can create a feedback loop: higher borrowing costs weaken balance sheets, which in turn justifies even wider spreads. The magnitude of spread movements also differs across sectors ,utilities and defensive industries typically hold steadier, while cyclical or highly leveraged sectors see rapid repricing. Thus, credit spreads are not just technical measures but clear indicators of how markets translate fiscal policy uncertainty into the cost of capital.

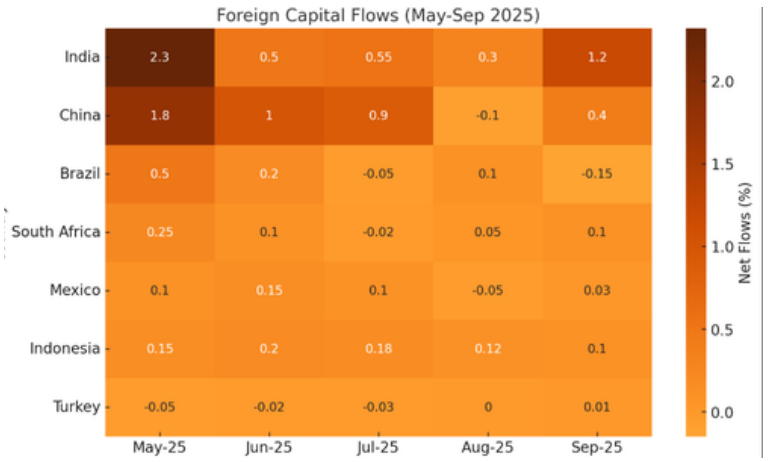


Foreign capital flow risks (capital flight, EM, vulnerability)

Foreign capital flows are one of the most important channels through which U.S. fiscal policy shocks transmit to the global economy. The U.S. Treasury market is the world's largest safe-asset pool, and foreign investors particularly central banks, sovereign wealth funds, and global asset managers hold a significant share of outstanding U.S. debt. When policies such as the Big and Beautiful Bill raise questions about U.S. debt sustainability or the value of the dollar, these investors may rebalance away from Treasuries. Such reallocation can put upward pressure on U.S. yields and amplify volatility across global markets.

For emerging markets (EMs), the risks are even more acute. Rising U.S. yields often prompt capital flight, as investors pull money out of EM equities and bonds in favor of safer U.S. assets. This shift can lead to currency depreciation, higher domestic interest rates, and greater refinancing pressure for governments and corporates reliant on external borrowing. Even economies with relatively sound fundamentals can experience outflows simply due to global de-risking.

Episodes such as the 2013 "Taper Tantrum" highlight the scale of vulnerability: abrupt changes in U.S. policy expectations triggered billions of dollars in EM outflows, sharp currency falls, and higher bond yields. A similar dynamic could occur if markets perceive BABB as undermining U.S. fiscal credibility.
Ultimately, capital flow volatility not only raises financing costs but can also reduce policy space for EM governments. Countries may be forced to intervene in currency markets, tighten monetary policy, or draw on foreign-exchange reserves, which can dampen growth and increase social and political pressures.



Fiscal reforms to keep debt credible

Why reforms are needed?

The Big & Beautiful Bill provides short-term stimulus but raises long-term debt credibility concerns. Without credible fiscal anchors, investors may demand higher yields or rating agencies may downgrade U.S. debt. Reforms must signal that spending is disciplined, revenues are sustainable, and rollover risks are contained.

1. Spending discipline - credible caps & rules

Expenditure ceilings: cap real primary expenditure growth at inflation + population growth. Keeps spending aligned with long-run capacity.

Medium-Term Fiscal Framework (MTFP): publish a rolling 3-5year expenditure/revenue plan linking annual budgets to debt/GDP targets.

Escape clauses: clear triggers (war, severe recession) with independent fiscal council certification to avoid abuse.

Oversight: empower a non-partisan fiscal council to monitor compliance and publish reports.

2. Revenue reforms - tax credibility without growth drag

Base broadening: reduce exemptions/deductions and expand the consumption tax base; enforce compliance with digital filing and AI audits.

Progressive tweaks: minimum corporate effective tax rate and modest adjustments at the top bracket to strengthen fairness. Windfall earmarking: channel temporary windfall revenues (from commodity booms or unexpected growth) into deficit reduction.

3. Debt management - lowering rollover and market risks

Extend maturities: increase the share of 10- and 30-year bonds to smooth the refinancing profile.

Inflation-linked issuance (TIPS): Shifts inflation risk to investors, enhances credibility.

Active liability management: conduct buybacks/swaps to smooth maturity spikes and manage investor demand.

4. Implementation checklist & KPIs

Publish MTFP within 90 days; quarterly reconciliation updates.

KPIs: debt/GDP trajectory vs. target, primary balance (% GDP), share of short-term debt, 10-yr yield spread vs. peers.

Communication: clear narrative to markets on sequencing (short-term stimulus, medium-term discipline).

Comparative chart of debt downgrade events

Country	Year(s)	Trigger	Debt/GDP at downgrade	Market reaction	Policy response
United States	2011 (S&P), 2023 (Fitch)	Debt ceiling standoffs, rising deficits	95% (2011), 120% (2023)	Yields volatile but long-term rates fell (flight to safety); CDS spreads up	Budget Control Act (2011), later fiscal caps
Greece	2010–2012	Unsustainable deficits, Eurozone crisis	>140%	10y yields >30%; shut out of bond markets	EU/IMF bailouts, austerity
Argentina	2001	External debt default, currency peg collapse	55%	Peso collapse, sovereign default	IMF intervention, restructuring
Russia	1998	Oil price crash, fiscal weakness, ruble peg	50%	Ruble devaluation, domestic default	IMF package, restructuring

1. U.S. sovereign debt downgrade

Current status: Debt/GDP ~124% (IMF/Trading Economics 2024). Fitch downgraded U.S. debt to AA+ in Aug 2023; S&P already downgraded in 2011; Moody's is still Aaa.

Risk: Another downgrade could push Treasury term premia up 20–40 bps and widen CDS spreads, raising global borrowing costs.

Trigger: Persistent primary deficits + lack of credible fiscal anchors.

Client safeguard: Shorten duration in U.S. Treasuries; increase allocation to TIPS and high-grade foreign sovereigns.

2. USD weakening

Current status: Dollar = ~59% of global FX reserves (IMF COFER 2024), down from 71% in 1999.

Risk: Fiscal credibility erosion could accelerate diversification to EUR, JPY, CNY, and gold. A 5–10% USD depreciation would raise import inflation and undermine Treasury safe-haven status.

Trigger: Market perception of fiscal dominance; loss of reserve confidence.

Client safeguard: Hedge FX exposure with forwards/options; tilt to gold, commodities, and non-USD assets.

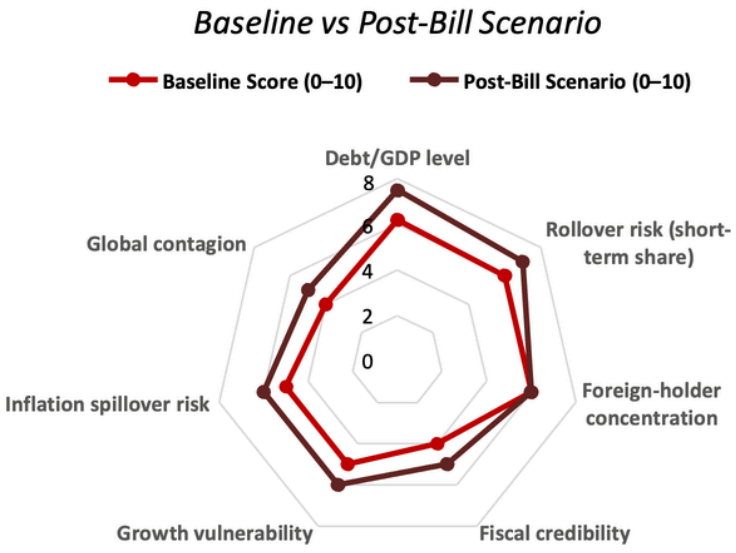
3. Global spillovers

Current status: U.S. Treasuries = ~$27tn market; foreign official sector holds ~30% (2024 Treasury data).

Risk: Rapid U.S. yield spike transmits globally: EM sovereign spreads can widen 100–300 bps (seen in 1998 Russia, 2013 Taper Tantrum). Repo collateral strain can spill to global banks.

Trigger: >100 bps jump in U.S. 10y yield within a short span.

Client safeguard: Diversify into current-account surplus EMs; hold short-duration bonds; use CDS on vulnerable credits.



Axis	Baseline	Post-Bill
Debt/GDP	6.2	7.5
Rollover	6	7
Foreign-	6	6
Fiscal	4	5
Growth	5	6
Inflation	5	6
Global	4	5

Why coordination matters

The Treasury market (~$27tn, 2024) is the world's benchmark asset. Stress episodes (2011 S&P downgrade, March 2020 dash-for-cash, 2023 Fitch downgrade) show that even U.S. Treasuries can face liquidity strains. Fed-Treasury coordination ensures orderly markets while preserving Fed independence.

1. Treasury toolkit

•Auction flexibility: In 2020, Treasury shifted heavily to bill issuance to meet cash demand, then lengthened maturities in 2021.

•Buybacks & reopening: Treasury announced in 2023 it would restart regular buybacks in 2024 (first since 2002) to smooth maturities and enhance liquidity.

•Quarterly Refunding Announcements (QRA): forward guidance on issuance sizes anchors expectations.

2. Federal Reserve toolkit

•Standing Repo Facility (SRF): launched July 2021, caps repo stress by offering overnight funding at a fixed rate.

•Temporary OMOs: March 2020, Fed injected $500bn+ repos and direct Treasury purchases to restore functioning.

•FIMA Repo Facility: created in 2020, lets foreign central banks swap Treasuries for dollars, preventing fire sales.

•QT flexibility: Fed slowed balance sheet runoff in 2019 after reserve stress.

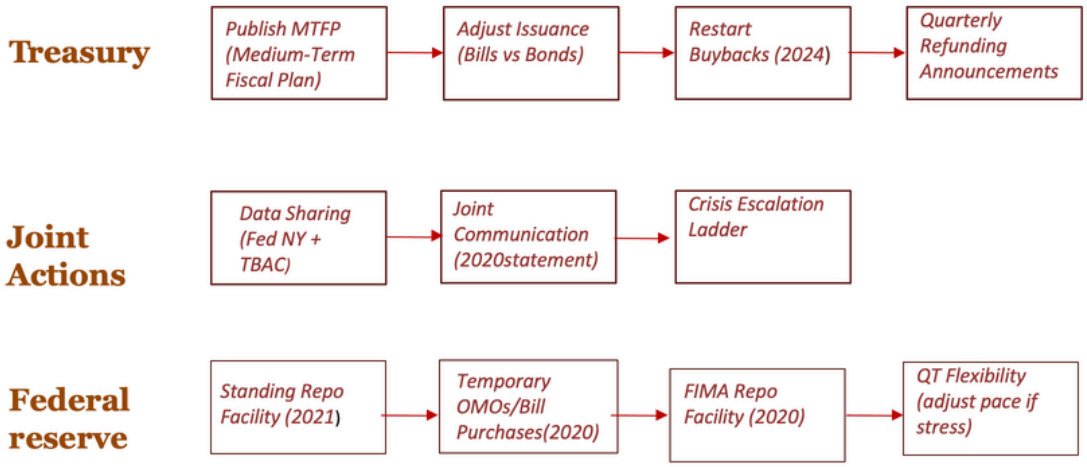
3. Coordination mechanism

•Joint monitoring: Treasury Borrowing Advisory Committee + Fed NY desk share data on bid/cover ratios, repo spreads, dealer inventories.

•Crisis playbook:

- Treasury tilts issuance (more bills, fewer long bonds).
- Fed activates SRF/term repos to absorb balance sheet strain.
- If dysfunction persists, Fed conducts temporary purchases; Treasury reassures via fiscal anchors

•Joint communication: e.g., March 15, 2020 Fed + Treasury statement: "The Federal Reserve is committed to supporting market functioning and the flow of credit."



Optimistic Scenario:

A. Matrix Reasoning:

- Strong fiscal stimulus and productivity gains drive robust economic growth, with inflation controlled through supply improvements and gradual Fed easing.
- Debt levels rise moderately but remain sustainable, fostering investor confidence and keeping borrowing costs low.
- Treasury yields and the US dollar remain stable or strengthen, reflecting healthy market conditions.

B. Long-Term Effects:

- Sustainable growth supports effective debt management and boosts infrastructure-led productivity improvements.
- Inflation stability allows steady interest rates and financial market resilience.
- Enhanced fiscal and monetary policy coordination strengthens economic fundamentals.

C. Investor Strategy:

- Favor growth-oriented assets such as equities and high-yield credit.
- Allocate to inflation-protected securities and retain exposure to a strong US dollar.
- Maintain balanced risk while capitalizing on stable macro environment.

Baseline Scenario

A. Matrix Reasoning:

- Fiscal stimulus partially offsets monetary tightening, resulting in moderate growth and persistent inflation.
- Debt-to-GDP ratio increases steadily, reflecting ongoing structural deficits and slower reforms.
- Interest rates remain elevated, leading to higher borrowing costs and volatile market sentiment.

B. Long-Term Effects:

- Rising debt and inflationary pressures constrain fiscal and monetary flexibility.
- Market volatility increases as growth slows and uncertainty persists.
- Structural fiscal reforms become essential to maintain debt sustainability.

C. Investor Strategy:

- Tilt toward inflation hedges like commodities and TIPS.
- Employ duration management to mitigate interest rate risk.
- Use currency hedging to manage dollar volatility; diversify globally.

Pessimistic Scenario

A. Numbers Reasoning:

- Economic growth contracts under fiscal drag and aggressive Fed tightening amid surging inflation.
- Debt burdens escalate, triggering higher risk premiums and rising borrowing costs.
- Treasury yields spike and the US dollar weakens due to eroding market confidence.

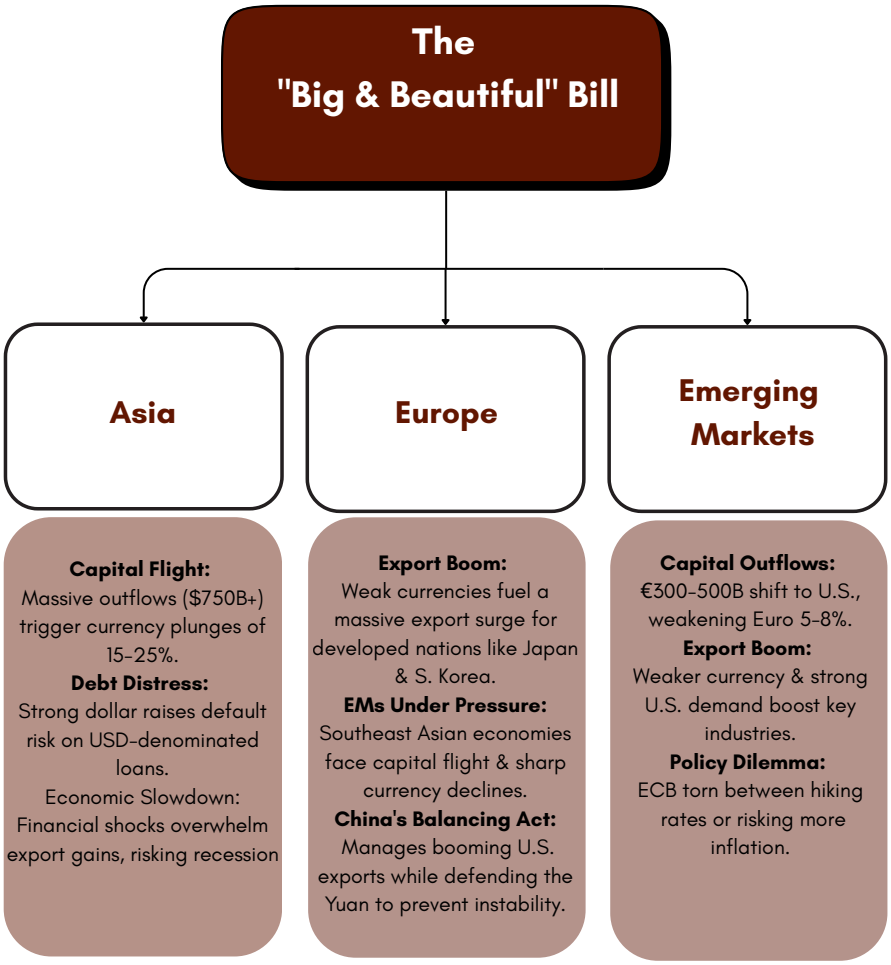
B. Long-Term Effects:

- Prolonged fiscal stress undermines public investment and economic resilience.
- Elevated default risk and possible sovereign credit downgrades destabilize markets.
- Tight monetary policy and high debt servicing costs suppress growth potential.

C. Investor Strategy:

- Emphasize capital preservation with gold, sovereign bonds, and TIPS.
- Minimise exposure to cyclicals and high-yield credit.
- Hedge rigorously against interest rate and currency risk amid heightened volatility.

Metric (1-3 Year Outlook)	Optimistic	Baseline	Pessimistic
GDP Growth (Annual %)	3.5% - 4.0%	1.4% - 1.8%	-1.0% - 0.5%
Inflation Rate (CPI, %)	2.0% - 2.5%	3.0% - 3.5%	5.0% - 6.0%
Debt-to-GDP Ratio (%)	120% - 123%	123% - 128%	130% - 140%
Fed Interest Rate (%)	3.0% - 3.5%	4.25% - 4.5%	5.5% - 6.5%
U.S. 10-Year Treasury Yield (%)	3.5% - 4.0%	4.5% - 5.0%	5.5% - 6.5%
Credit Spreads (bps)	60 - 80 bps	120 - 150 bps	180 - 220 bps



Strategic Takeaways:

- Global capital flows are undergoing significant shifts driven by US fiscal stimulus and monetary policy adjustments, impacting regional asset valuations and funding conditions.
- The US market remains resilient, buoyed by fiscal support, attracting strong capital inflows, particularly into growth sectors such as technology and infrastructure.
- Emerging markets, especially in Asia, continue to receive robust capital inflows, underpinned by improving investor sentiment and growth prospects.
- European markets encounter moderate growth challenges and tighter funding conditions, reflecting a slower recovery and structural headwinds.
- Inflation pressures are easing worldwide, although central banks maintain cautious policy approaches, influencing borrowing costs and market volatility.
- To navigate these uncertainties, investors should focus on broad diversification across asset classes and geographies.
- Effective risk management, including the use of inflation hedges, duration control, and currency strategies, is essential to balance growth opportunities with potential market risks.

1. Gold

- **Rationale**: Hedge against inflation, a haven during USD weakness.
- **HNIs**: Gold ETFs, digital gold, sovereign gold bonds.
- **Institutions**: Physical bullion allocation, gold futures/options.

2. TIPS (Treasury Inflation-Protected Securities)

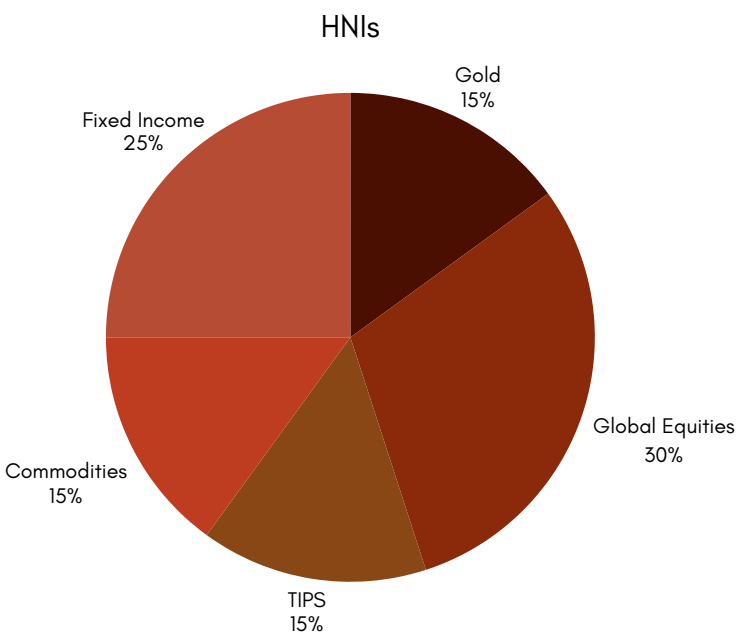
- **Rationale**: Protects bond portfolios if CPI inflation exceeds the Fed's 2% target.
- **HNIs**: Retail TIPS ETFs, mutual funds.
- **Institutions**: Direct TIPS mandates, customized inflation-linked portfolios.

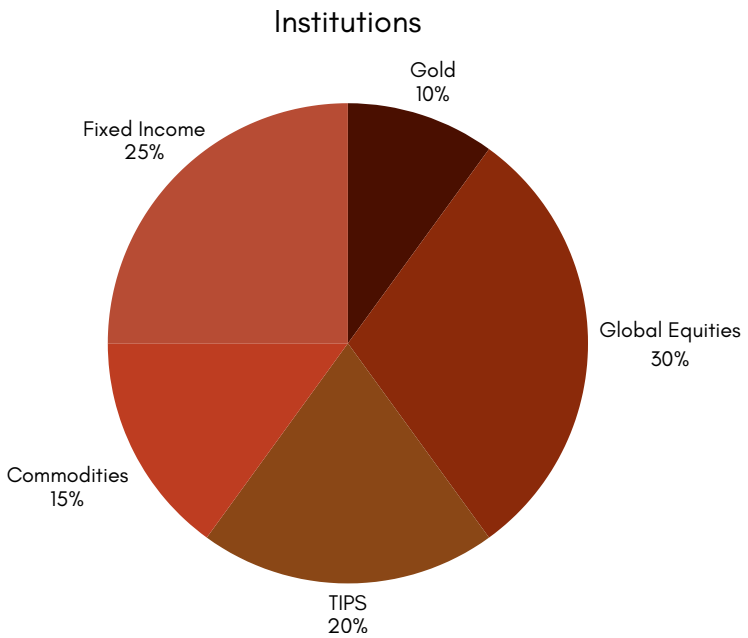
3. Commodities (Energy, Agriculture, Metals)

- **Rationale**: Hedge against supply disruptions and policy-driven demand.
- **HNIs**: Thematic commodity mutual funds/ETFs.
- **Institutions**: Commodity indices, structured commodity-linked notes, and futures exposure.

4. Global Equities (ex-US developed + EMs)

- **Rationale**: Diversify away from U.S. policy uncertainty, capture EM growth.
- **HNIs**: International mutual funds/ETFs, emerging market equity schemes.
- **Institutions**: Global equity mandates, direct EM exposure, currency-hedged allocations.





- **Pie-chart allocation split for HNIs and Institutions**

Currency Hedging – Protecting Against USD Depreciation

Context: Large U.S. deficits and spending raise the risk of a weaker dollar, which can erode returns on dollar assets. Hedging is essential to protect portfolios and maintain stability.

HNIs (High Net-Worth Individuals):

- **Currency-Hedged ETFs (Exchange-Traded Funds):** Provide international equity exposure while neutralizing USD currency fluctuations. This allows HNIs to diversify into global assets without being directly impacted by exchange rate swings.
- **Euro/CHF-Denominated Assets:** Allocating capital into Euro- or Swiss Franc-based assets provides natural currency diversification. Both currencies are traditionally more stable and act as a hedge against USD weakness.

Institutions:

- **FX Forwards/Swaps:** Forward contracts and cross-currency swaps enable institutions to lock in future exchange rates or exchange cash flows in different currencies. These tools provide flexibility in actively managing large-scale USD exposures.
- **EM Local Currency Debt:** Allocating to emerging market government bonds denominated in local currencies provides both yield enhancement and currency diversification. As the USD weakens, local currencies may strengthen, amplifying returns.

Interest Rate Hedging – Managing Treasury Yield Risk

Context: Massive government borrowing raises Treasury yields, lowering the value of existing long-term bonds and increasing portfolio volatility, making effective hedging essential to maintain stability and returns.

HNIs (High Net-Worth Individuals):

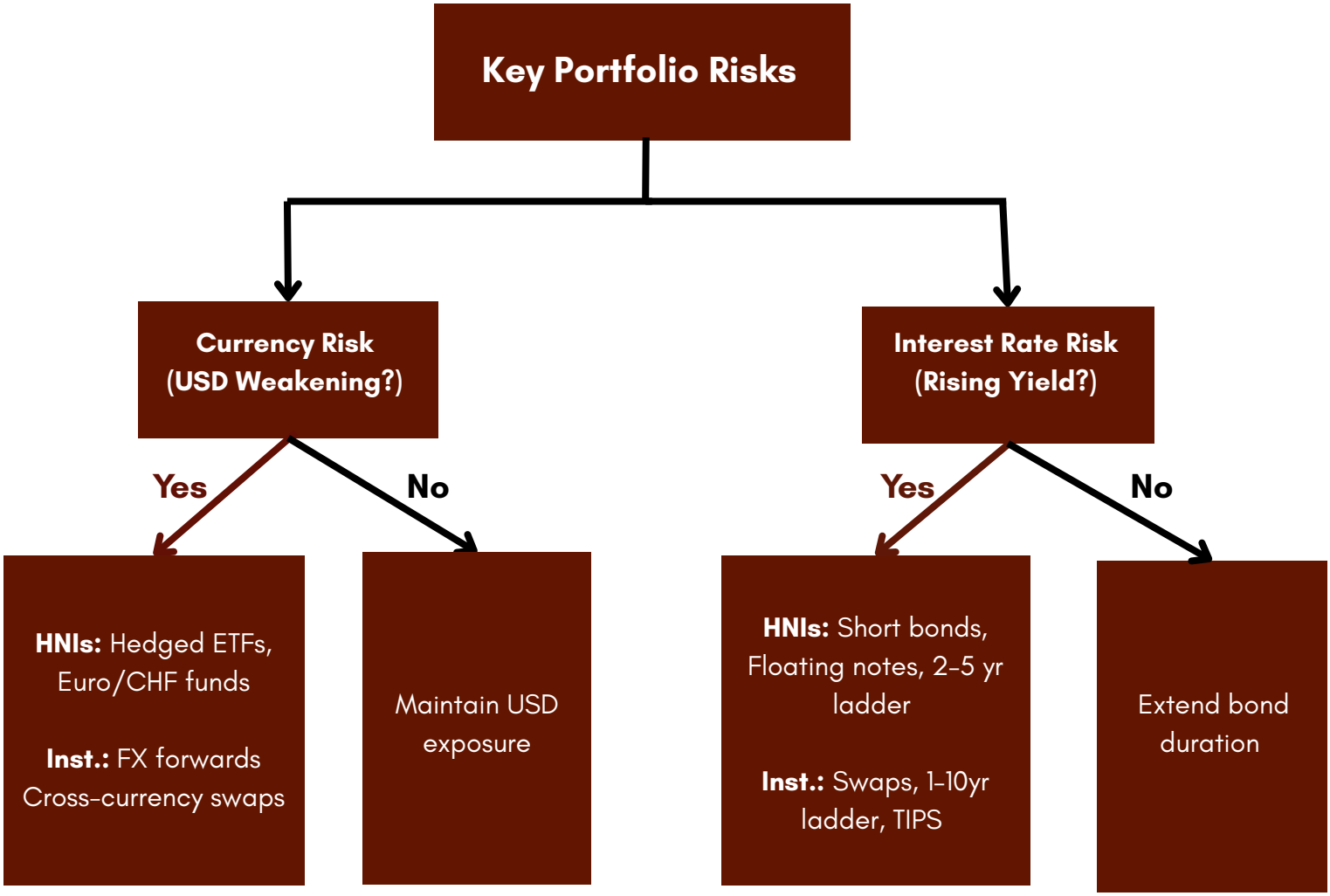
- **Short-Duration Bond Funds:** Bonds with shorter maturities are less sensitive to interest rate changes, reducing volatility in fixed income allocations.
- **Floating-Rate Notes:** Coupon payments on these securities reset periodically with prevailing interest rates, ensuring protection in a rising-rate environment.
- **2-5 Year Bond Ladders:** Structuring bond investments with staggered maturities between 2-5 years lowers reinvestment risk and ensures liquidity while capturing higher yields over time.

Institutions:

- **Interest Rate Swaps/Futures:** These derivatives allow institutions to manage duration exposure actively, either by swapping fixed-rate obligations for floating rates or hedging bond price declines through futures contracts.
- **Customized Bond Ladders (1-10 years):** Extended ladders provide institutions with flexibility, balancing long-term yield opportunities with liquidity management.
- **TIPS (Treasury Inflation-Protected Securities):** Inflation-linked securities safeguard real returns, ensuring purchasing power is protected when yields are driven higher by inflationary pressures.

Hedging Decision Tree

Fiscal deficits and heavy treasury issuance create risks of USD weakness and rising yields. This framework shows how portfolios can be protected dynamically.



Key Takeaways

Currency Hedging: Protects against USD depreciation through ETFs, Euro/CHF exposure, and institutional FX tools.

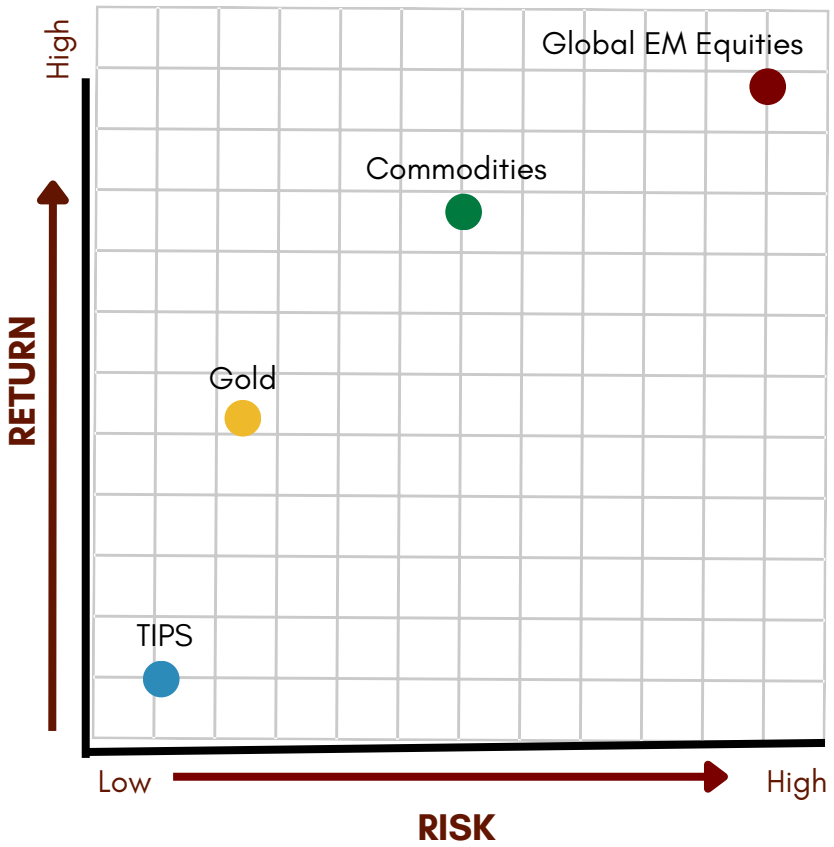
Interest Rate Hedging: Shields portfolios from yield spikes with short bonds, floating notes, swaps, and ladders.

Dynamic Approach: Hedges are applied only when risks appear, keeping portfolios efficient and stable.

Differentiated Strategy – HNIs vs Institutions

Asset Class	HNIs	Institutions
Gold	Gold ETFs, sovereign bonds, digital gold	Physical bullion, gold futures/options
TIPS	Retail ETFs, mutual funds	Direct mandates, customized ILBs
Commodities	Thematic commodity mutual funds/ETFs	Commodity indices, futures, structured notes
Global Equities	International ETFs, EM equity funds	Global mandates, EM allocations, currency-hedged
Currency Hedge	Hedged ETFs, Euro/CHF exposure	FX forwards, cross-currency swaps
Interest Rate Hedge	Short-duration bonds, ladders	Swaps, futures, bond ladder portfolios

Risk-Return Scatter Plot



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